

Proposal for PERNAS to Acquire and Institutionalise RCI

Strengthening institutional capability through operational intelligence



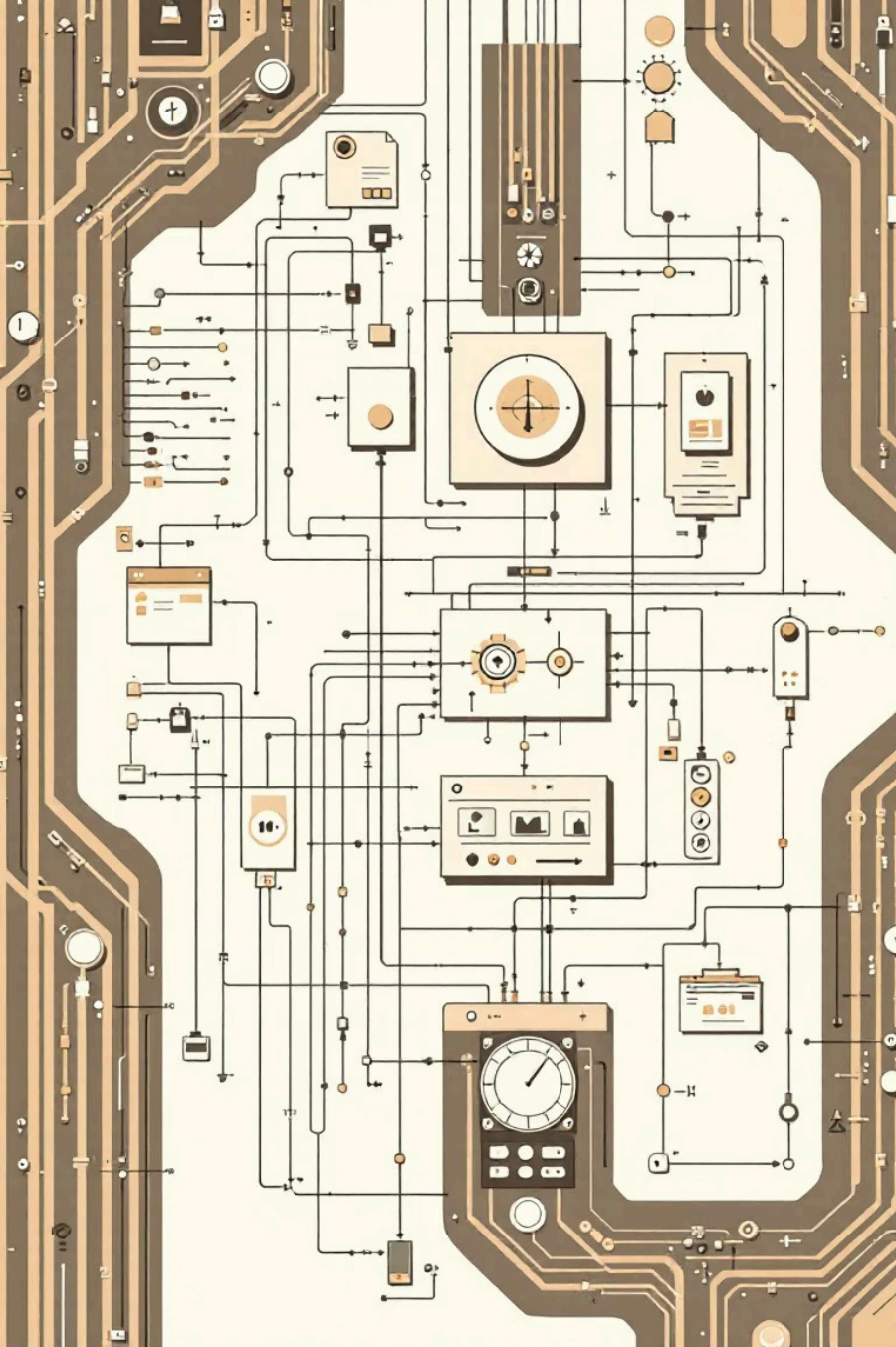
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The Opportunity

PERNAS has a strong mandate, extensive reach, and proven track record in developing Bumiputera enterprises. As expectations around **measurable outcomes, sustainability, and capital efficiency** rise, there's an opportunity to strengthen institutional capability.

This proposal recommends acquiring **Root Cause Intelligence (RCI)** as a core capability to enhance counsellor effectiveness and systematically translate support into **measurable business outcomes**.





Strategic Context: The Challenge

Divided Attention

Management splits focus between daily execution and growth ambitions

Rising Complexity

Operational complexity increases faster than internal control maturity

Interdependent Factors

Performance shaped by multiple interconnected issues, not isolated problems

Development institutions that achieve strong long-term outcomes complement funding with **structured diagnostic and control capability**.

What is Root Cause Intelligence?

RCI is a **systematic operational intelligence and management control methodology** designed to help institutions identify true performance drivers and design targeted interventions.

01

Identify Drivers

Pinpoint true drivers of enterprise performance

02

Distinguish Root Causes

Separate symptoms from underlying issues

03

Translate to Economics

Convert operational realities into revenue, margin, and cash-flow implications

04

Design Interventions

Create targeted solutions that prevent recurrence

❏ RCI is grounded in practical management of **Money, Materials, Manpower, Machinery, and Market**—the 5Ms framework.

Why RCI Strengthens PERNAS



Elevates Counsellors

Transforms counsellors into institutional value multipliers with shared, objective diagnostic approaches. Enhances credibility and consistency across sectors and regions.



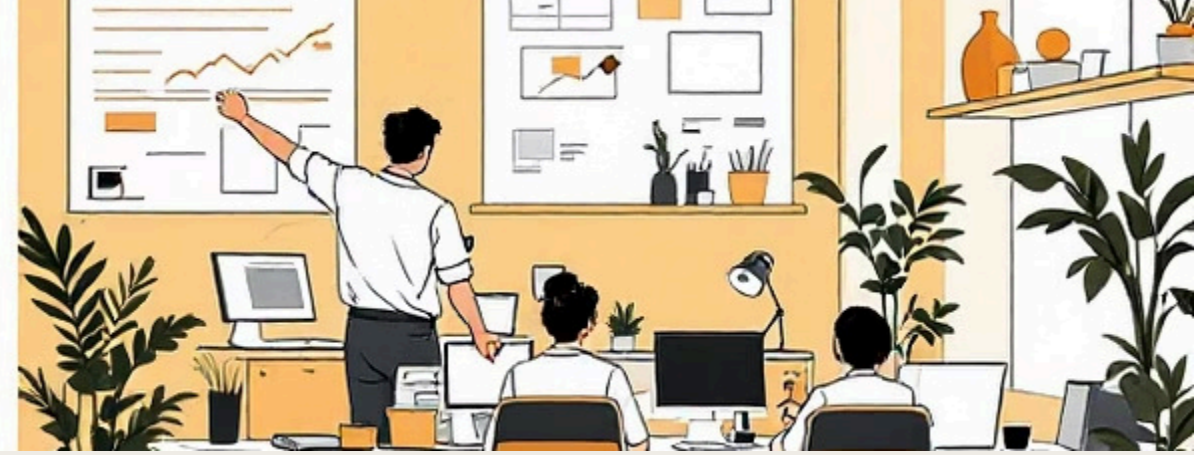
Measurable Outcomes

Converts support and funding into tangible business results: improved margins, better capacity utilisation, faster cash conversion, and reduced operational disruptions.



Protects Capital

Acts as value-protection layer by directing funding toward structurally sound improvements, surfacing risks earlier, and reducing repeat support for unresolved issues.



How RCI Converts Support into Results



Structured Diagnosis

Map value-generating activities, identify constraints, isolate performance drivers across the 5Ms



Quantification

Translate each issue into impact on revenue, cost, margin, capacity, and cash flow



Control & Follow-Through

Introduce practical control logic that stabilises performance and prevents recurrence

Institutional Value to PERNAS



By owning RCI, PERNAS gains:

Proprietary Capability

Defensible, institutional-grade operational intelligence

Common Language

Shared operational framework across counsellors and programmes

Stronger Accountability

Enhanced outcome traceability and success rates

Benchmark Status

Positioned as leader in enterprise development and capital stewardship

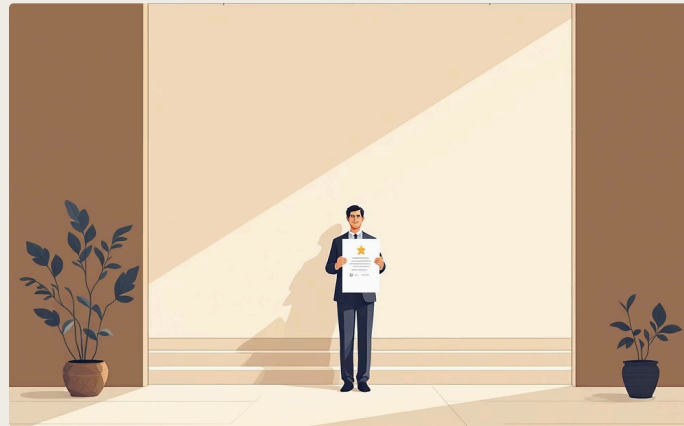
Long-Term Sustainability Options

While RCI's primary value lies in impact, ownership enables additional opportunities:



Advanced Programmes

Offer outcome-based enterprise development programmes



Practitioner Certification

Certify internal and selected external practitioners



Digital Integration

Embed RCI logic into future monitoring systems

☐ These options enhance sustainability without altering PERNAS's core mandate.



Proposed Path Forward

1

Phase 1: Acquisition

PERNAS acquires RCI intellectual property and methodology. Establish clear institutional ownership and governance.

2

Phase 2: Pilot

Train selected counsellors. Apply RCI to defined enterprise portfolio. Track outcomes transparently.

3

Phase 3: Scale

National rollout based on evidence. Integrate RCI into existing PERNAS programmes.

From Supporting to Systematically Strengthening

This proposal equips PERNAS with **institutional-grade operational intelligence** that ensures every engagement, intervention, and ringgit deployed delivers the highest probability of sustainable, measurable business results.

RCI represents accumulated operational intelligence and pattern recognition developed through real-world application—depth that cannot be reproduced through frameworks or training alone.

Ownership provides PERNAS with a long-term institutional advantage—enabling the organization to move from supporting enterprises to systematically strengthening them at scale, with clarity, and with confidence.

